

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

- 1. Contracting Activity:** Department of Veterans Affairs (VA)
Office of Procurement, Acquisition and Logistics
Technology Acquisition Center
23 Christopher Way
Eatontown, NJ 07724
- 2. Description of Action:** The proposed action is for a firm-fixed price contract to be issued for the procurement of brand name InterQual Connect software subscription licenses.
- 3. Description of the Supplies or Services:** VA, Office of Information and Technology (OIT), has a requirement to purchase brand name InterQual Connect software subscription licenses. InterQual establishes medical necessity or level of care determinations. Medical necessity or level of care determinations are the “next steps” in the treatment process. This solution can be leveraged by VA to reduce unnecessary radiology orders for more than 280 unique imaging tests, which reduces and/or eliminates patient exposure to unnecessary testing. InterQual platform aligns strategically with the VA to reduce unnecessary exams and allows for appropriate exams to be scheduled sooner. The software helps to ensure that appropriate sequencing of tests is considered prior to the approval of advanced imaging. The period of performance for this licensing shall be 12 months, with four (4), 12-month option periods. The total estimated value of the proposed action, inclusive of all option periods, is [REDACTED]
- 4. Statutory Authority:** The statutory authority permitting other than full and open competition is 41 U.S.C. 3304(a)(1) as implemented by the Federal Acquisition Regulation (FAR) 6.103-1 entitled, “Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.”
- 5. Rationale Supporting Use of Authority Cited Above:** VA Directive 1117 Utilization Management (UM) Program uses InterQual for VA admissions and InterQual provides access to medical necessity criteria, allowing staff to conduct medical necessity reviews. The UM Program, a key component of the Veterans Health Administration quality management system, provides vital tools for managing quality and resource utilization. It strives to ensure the right care, in the right setting, at the right time, for the right reasons, utilizing evidence-based practices along with continuous measurement and improvement. UM strategies provide guidance, but do not supersede decisions made by VA providers. They also evaluate the appropriateness, medical necessity and efficiency of health care services, according to evidence based criteria. UM strategies are applied to patients regardless of payment source. This proactive approach provides just-in-time information to guide evidence-based decision making and establishes the expectation of ongoing collaboration with other patient management services such as case management, nursing, social work services, mental health and discharge planning.

Change Healthcare Technologies is the owner of InterQual and VA already has a Memorandum of Understanding (MOU) and an interconnection security agreement in

place with Change Healthcare Technologies. The award of an alternate solution would expose VA to new components that are not vetted by OIT. Therefore, no source other than Change Healthcare or its only authorized reseller, [REDACTED], can supply this software.

VA's Subject Matter Experts (SMEs) conducted a small local survey over a two (2)-month period in which approvals and denials were tracked using the software. The SMEs clinically denied 25 requests from providers for x-rays using the InterQual criteria. The results of the survey showed the cost of the software can be recouped over a one-year period. Specifically, the average Medicare reimbursement rate for a magnetic resonance imaging (MRI) is [REDACTED] resulting in a cost savings to VA of [REDACTED] per year. However, considering only MRI orders were reviewed during this study, the cost savings will increase once VA has full access to use InterQual on cat scan orders as well. If VA does not pursue this action, there would be negative impacts on Veteran care as unnecessary x-rays would be performed. This would not only delay x-rays that are clinically needed, but cause scheduling issues, forcing Veterans to receive treatment outside the VA network.

6. Efforts to Obtain Competition: Market research was conducted, details of which are in Section 8 of this justification. This effort did not yield any additional sources that can meet the Government's requirements. However, the undersigned VA technical representative determined that limited competition is available among authorized resellers for brand name licenses, as well as software maintenance and support. In accordance with FAR 6.301(b)(2) and 5.201(c)(3) this justification shall be posted with the solicitation. Furthermore, the proposed action will be synopsisized on the Contract Opportunities Page in accordance with FAR 5.201. Any proposals that are received shall be evaluated.

7. Actions to Increase Competition: The Government will continue to conduct market research to ascertain if there are changes in the marketplace that would enable future actions to be competed.

8. Market Research: In accordance with VA Acquisition Regulation 810.001-70 (Class Deviation), additional market research was conducted via a search of the Veteran Small Business Certification (VetCert) database. In October 2025, the VetCert database was screened for a list of certified Service-Disabled Veteran-Owned Small Businesses (SDVOSBs) and certified Veteran-Owned Small Businesses (VOSBs) performing under the North American Industry Classification System (NAICS) code 541519 "Other Computer Related Services" and yielded 4597 results. Despite the number of matches, the requirement discussed herein is more specialized than a simple NAICS code search; therefore, based on the specific market research discussed below it was determined that there are no SDVOSBs or VOSBs that can meet the Government's needs.

On October 15, 2025, a Sources Sought Notice (SSN)/Request for Information (RFI) was posted on the Contract Opportunities page via SAM.gov. The purpose of the SSN/RFI was to identify potential sources, specifically SDVOSBs and VOSBs, that are interested in proposing on the acquisition, this effort was to obtain capability statements

from these vendors, and to allow for industry to comment on the Product Description. The SSN/RFI closed on October 20, 2025, no responses were received. Therefore, it was determined there are no other interested vendors that can satisfy this requirement.

In October 2025, the Contract Specialist received email confirmation from Optum (formerly Change Healthcare), the developer and distributor of InterQual, that there is only one (1) authorized reseller, [REDACTED], a large business, which is a contract holder on the National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurement (SEWP) V Governmentwide Acquisition Contract (GWAC). In October 2025, the Contract Specialist utilized the NASA SEWP V GWAC Provider Lookup Tool to search for "Change Healthcare," and confirmed [REDACTED] in Group D was the only authorized reseller.

In December 2025, the Contracting Officer received email confirmation from Optum that either Optum or its only authorized reseller, [REDACTED], both Large Businesses, could provide a quote via the open market. The confirmation email was placed in the contract file.

9. Other Facts: None.

10. Technical/Requirements Certification

I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

JENNIE
GATCHELL

Digitally signed by
JENNIE GATCHELL
Date: 2025.12.04
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Jennie Gatchell
Business Manager

12/4/25

Date

11. Fair and Reasonable Cost Determination

I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable based on reasonable price comparisons with prior purchases of the same or similar supplies or services supported by valid pricing data.

KIMBERLY
GERAN

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KIMBERLY GERAN
Date: 2025.12.04
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Kimberly Geran
Contracting Officer

12/4/25

Date

12. Contracting Officer Certification/Approval

I certify that this justification is accurate and complete to the best of my knowledge and belief.

KIMBERLY
GERAN

Digitally signed by
KIMBERLY GERAN
Date: 2025.12.04
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Kimberly Geran
Contracting Officer

12/4/25

Date